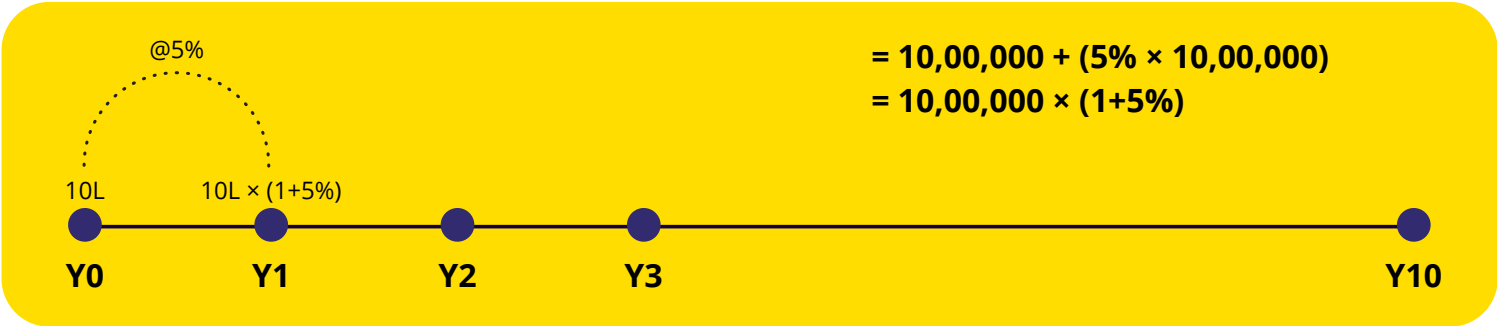
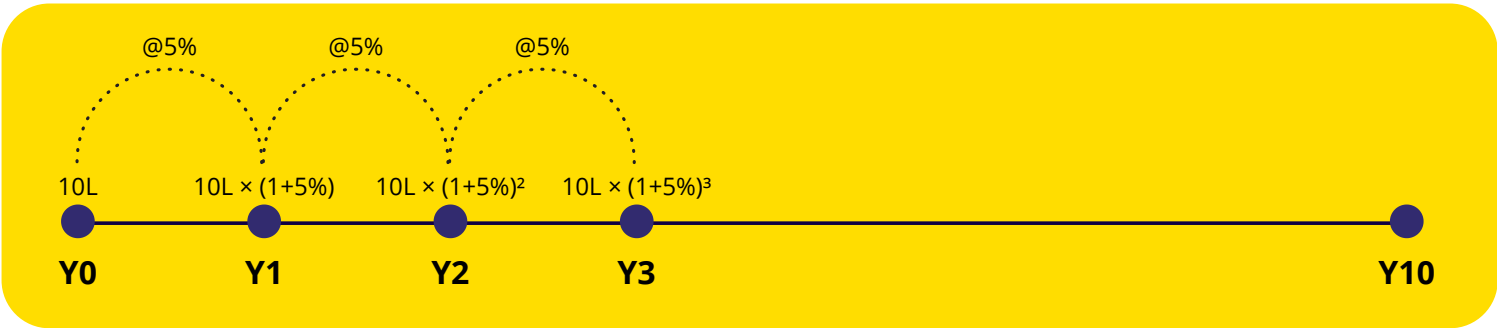


Let us take a quick detour and understand the above formula. It represents compounding. Let us assume we want to buy an asset after 10 years. The price today is Rs. 10 Lac. The inflation is 5%, so we need to grow this 10 Lac at the given rate for 10 years to find its value after 10 years. So at Year 0, the value is Rs 10 Lac. Now, at Year 1, we will grow the amount at 5%. That means we need to add 5% of Rs 10 Lac to the original amount.



We see that we multiplied the amount by $1+5\%$ to grow it. Now, at Year 2, we need to grow it by 5% again. Hence, we will multiply the year 1 value with $1+5\%$. That gives us $10,00,000 \times (1+5\%) \times (1+5\%)$. This can also be represented as $10,00,000 \times (1+5\%)^2$. At Year 3, we will again multiply this with $1+5\%$. Then the value will become $10,00,000 \times (1+5\%)^3$.



We will continue this until we reach Year 10. There, the value will become $10,00,000 \times (1+5\%)^{10}$. We use a calculator to solve this, and we get 16,28,894 i.e. Rs 16 Lac. Here, we were growing an amount with the inflation rate. If we are investing in an asset, there we need to grow the amount by the rate of return. When we grow our salary, we will use the salary growth rate. So, the formula remains the same, the growth rate will take different forms.

